ANALYSTLAB AFRICA

Data Analytics Internship Programme — Week 3

Global Superstore Business Insights and Recommendations

Business Insights and Recommendations Report

This report translates the Advanced Data Analysis findings into clear, evidence-based recommendations for management. Each insight answers a specific business question and is paired with a practical, actionable recommendation.

Summary Table

Business Question	Key Insight	Recommendation
What drives sales?	Consumer, Central, and APAC are the major sales drivers.	Focus retention and growth strategies on these strong-performing areas.
What affects profitability?	Furniture has low profit, a high average discount (17%), and high shipping costs.	Review logistics, pricing, and discount strategy for Furniture specifically.
What products underperform?	Several products generate high sales but negative profit (e.g. Motorola Smart Phone, Rogers Lockers).	Review pricing, product cost, and viability of persistent loss-makers.
Where are growth opportunities?	APAC and Central perform strongly; Africa and Canada are significantly weaker.	Replicate successful strategies from Central/APAC where appropriate; investigate weaker areas.
Are discounts affecting profit?	The relationship is mixed — larger discounts do not consistently improve sales or profit.	Move to targeted, monitored discounting rather than broad discounting.
Which customers are most valuable?	Consumer leads on sales and profit; the top customer by profit (Tamara Chand) differs from the top by sales (Tom Ashbrook).	Prioritise retention of high-profit customers, not just high-revenue ones.

Detailed Insights and Recommendations

Insight 1: The Consumer segment, Central region, and APAC market drive sales performance

Insight

Sales performance is primarily driven by the Consumer segment, which generated approximately $6.51 million — around 51.5% of total sales. Geographically, Central is the strongest region (~$2.82 million in sales) and APAC is the strongest market (~$3.59 million in sales). Overall sales show an increasing trend over time.

Recommendation

Management should prioritise retention and growth strategies within the Consumer segment, and study the product mix, pricing, and customer behaviour that make Central and APAC successful, with a view to replicating those factors in weaker-performing areas.

Business question answered: What is driving sales performance?

Insight 2: Profitability is affected by more than sales volume — Furniture illustrates this clearly

Insight

Profitability does not track sales volume alone. Furniture recorded the lowest profit of the three categories despite generating meaningful sales, and it also carries the highest average discount (17%) and the highest shipping cost of any category. Because discounting alone does not explain profit outcomes elsewhere in the dataset, Furniture's weak profitability is best explained by the combined effect of high discounting and high shipping costs.

Recommendation

Management should review Furniture's end-to-end profitability, covering discount policy, pricing, and shipping/logistics costs together — not discounting in isolation — and look for ways to reduce avoidable logistics costs while applying discounts more selectively.

Business question answered: What is affecting profitability?

Insight 3: Several high-sales products are generating losses

Insight

A number of products combine strong sales with negative profit. The Motorola Smart Phone generated $38,931 in sales but a loss of $4,447; Rogers Lockers generated $28,214 in sales but a loss of $2,893; and the HowVwer Stove White, Sacto Executive Leather Armchair, and Cisco Telepresence System show the same pattern.

Recommendation

Management should conduct a product-level profitability review focused on pricing, product cost, and discount depth for these items, and consider repricing, cost renegotiation, reduced discounting, or discontinuation for products that remain consistently unprofitable.

Business question answered: Which products or categories are underperforming?

Insight 4: APAC and Central present growth strength; Africa and Canada present a performance gap

Insight

Central is the strongest region and APAC the strongest market on both sales and profit. Africa is the weakest region (~$783,773 in sales, lowest regional profit) and Canada is the weakest market (~$66,928 in sales, lowest market profit) — a clear and significant performance gap in both cases.

Recommendation

Management should continue investing in Central and APAC while treating Africa and Canada as improvement priorities: investigating product demand, pricing, and discounting in those markets before committing further investment.

Business question answered: Where are the growth opportunities?

Insight 5: The relationship between discounting and profitability is mixed, not straightforward

Insight

Larger discounts are not consistently associated with higher sales or higher profit across the dataset. Furniture stands out because it combines the highest average discount (17%) with the lowest category profit, but this pattern does not hold uniformly elsewhere, indicating that discount depth alone is not a reliable predictor of outcome.

Recommendation

Management should move away from broad, category-wide discounting toward a targeted approach, monitoring discount levels at the category and product level to confirm that they generate enough additional sales or profit to justify the reduced margin.

Business question answered: Are discounts affecting profitability?

Insight 6: High-value customers should be identified by profitability, not sales alone

Insight

The Consumer segment is the most valuable segment overall, contributing roughly 51.5% of sales and 51.1% of profit. At the individual level, Tom Ashbrook is the top customer by sales (~$40,488), but Tamara Chand is the top customer by profit (~$8,673) while ranking only second by sales — showing that the highest-revenue customer is not necessarily the most valuable one.

Recommendation

Management should segment customers by both sales and profitability. High-profit customers such as Tamara Chand should be prioritised for retention and loyalty initiatives, while high-sales, lower-profit customers should be reviewed for pricing and discount optimisation.

Business question answered: Which customer segments are most valuable?

Conclusion

Across sales, profitability, product, geographic, discount, and customer analysis, one theme recurs: strong top-line performance does not guarantee strong profitability. The Consumer segment, Central region, and APAC market are clear strengths to protect and replicate. Furniture, specific loss-making products, and the Africa/Canada gap are the clearest areas for management attention, with discounting and shipping costs as the most actionable levers for improving margin without sacrificing the sales growth already achieved.